

CHAPTER 6: THE KEY TO 100-BAGGERS

If a business earns 18% on capital over 20 or 30 years, even if you pay an expensive looking price, you'll end up with a fine result.

— Charlie Munger
Jason Donville at Donville Kent Asset Management poses an interesting hypothetical.

HE SAYS, IMAGINE YOU INVESTED IN A FUND 15 YEARS ago whose fund manager delivered the returns shown in the nearby table, “Stellar returns.” At first you might think you’ve found the next Bernie Madoff, who also delivered incredibly steady returns for a long time — by making them up.

But this isn’t Madoff. This is real. This manager really exists. His name is Gerry Solloway. And he is the CEO of a Canadian consumer-finance company called Home Capital Group (HCG).

These returns, though, are not returns on a fund. What the table on the next page shows you is the return on equity for Home Capital in each of the 15 years from 1998 through 2012.

ROE is a measure of what return a business generates on the equity invested in the business. Say you invested \$100 to start your own shoeshine business. You earn \$25 in your first year. Your ROE would be 25 percent.

“Over time,” Donville wrote, “the return of a stock and its ROE tend to coincide quite nicely.” If you had invested in Home Capital on January 1, 1998, you’d have paid \$1.63 per share. In January of 2014, it was about \$80 per share. (Today, the shares are worth \$98 per share, adjusting for a two-for-one stock split.)